

FEDERAL MARITIME COMMISSION

DOCKET NO. CC-002

**HAPAG-LLOYD AG – INVESTIGATION FOR COMPLIANCE WITH 46 U.S.C.
§ 41104(a) UNDER THE CHARGE COMPLAINT PROCEDURES OF 46 U.S.C. § 41310**

**REPLY OF THE
BUREAU OF ENFORCEMENT, INVESTIGATIONS, AND COMPLIANCE
TO RESPONSE OF HAPAG-LLOYD AG TO ORDER TO SHOW CAUSE**

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April 27, 2026

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INTRODUCTION

The Federal Maritime Commission (Commission or FMC) instituted this proceeding by issuing an Order to Show Cause (OSC) on March 6, 2026 against Respondent Hapag-Lloyd AG (Respondent or Hapag).

The OSC directed Respondent Hapag Hapag-Lloyd AG to show cause why the Commission should not order Respondent to refund or waive charges assessed or paid, or impose a civil penalty, under 46 U.S.C. §§ 41310(d) and 41107, for failure to comply with 46 U.S.C. §§ 41104(a)(14) and 41104(a)(15)(B). The OSC identified the relevant invoices in Attachment A to the Order. The OSC named the Bureau of Enforcement, Investigations, and Compliance (BEIC) a party to the proceeding and directed BEIC to file its reply in opposition to Respondent by no later than April 27, 2026. Therefore, in accordance with that directive, BEIC hereby submits timely files its reply.

PROCEDURAL HISTORY

The Commission issued the OSC to Respondent on March 6, 2026. Hapag-Lloyd Ag - Investigation For Compliance With 46 U.S.C. § 41104(a) Under the Charge Complaint Procedures of 46 U.S.C. § 41310, Dkt. CC-002, Order Directing Hapag-Lloyd AG to Show Cause (OSC), 2026 WL 658591 (FMC). This proceeding commenced under 46 U.S.C. § 41310 and 46 C.F.R. § 502.91, based on information submitted by Complainant Oceana Global Logistics, LLC (Complainant) regarding Respondent's action in assessing and charging detention and demurrage charges with respect to the 159 invoices identified in Attachment A to the OSC.

Respondent timely filed its affidavits of fact, memoranda of law, and documentary evidence on March 31, 2026. Dkt. CC-002, Response of Hapag-Lloyd AG to Order to Show Cause,

2026 WL 976255 (FMC). BEIC filed its Response to the Motion for Confidential Treatment on April 7, 2026.

STATEMENT OF FACTS

Prior Charge Complaint

1. On or about February 5, 2025, Oceana Global Logistics, LLC (Oceana or Complainant) filed Charge Complaint No.20250034 (CC#1) under 46 U.S.C. § 41310, as a party billed, assessed, or paid for certain charges by Hapag. OSC ¶ 8; BEIC Exhibit 1, Verified Statement of Yeseira Diaz ¶ 9.
2. In CC#1 Oceana alleged certain required information was missing or incorrect on 167 detention or demurrage invoices (original invoices) issued by Respondent. OSC ¶ 9; Diaz V.S. ¶ 9.
3. On or about May 7, 2025, Respondent resolved CC#1 canceling of all 167 original invoices that were the subject of CC#1. Diaz V.S. ¶ 9; Hapag Resp. at 10.
4. Hapag admits that its initial invoices did not contain all required information, either through omission or inaccuracy. Hapag Resp. at 10.

Instant Charge Complaint

5. On or about April 18, 2025, Hapag issued to Oceana 159 revised invoices (Second Invoices). Hapag Resp. ¶ 6.
6. With the 159 Second Invoices Hapag assessed and billed Oceana the same detention and demurrage charges, using the same invoice numbers as the disputed original invoices. Hapag Resp. ¶ 9, 11, 14; Hapag Resp., App. 1, Declaration of Christopher Rutgers in Support of Hapag -Lloyd AG's Response to the Order to Show Cause, (Rutgers Decl.)

¶¶ 10,11,14; Rutgers Decl., Ex. A, Initial Invoices, Ex. B, Reissued Invoices, and Ex. C, Invoice Comparison Chart.

7. On or about May 27, 2025, the Commission received the instant Charge Complaint (No. 20250139) (CC#2) from Oceana Global Logistics, LLC (Oceana or Complainant) under 46 U.S.C. § 41310, as a party billed, assessed, or paid for certain charges by Hapag. OSC ¶ 17; Diaz V.S. ¶ 7.
8. Oceana filed CC#2 disputing the 159 Second Invoices (Rutgers Decl., Ex. B, Reissued Invoices) totaling \$1,191,470.00 alleging all were issued more than 30 calendar days after the date on which the charge was last incurred in violation of the Shipping Act and Commission regulations. Diaz V.S. ¶ 7.
9. The “Initial Invoice” dates shown on the 159 Second Invoices range from 2-13 days after the date on which the charge was last incurred. Hapag resp. ¶ 12; Rutgers Decl. ¶ 7; Rutgers Decl., Ex. A, Initial Invoices.
10. For the 159 Second Invoices, all charges were incurred and invoiced after May 28, 2024 with the date of the last charge ranging from June 6, 2024 to November 27, 2024 resulting in a range from 142-316 days after the “Reissued Invoice” date of April 18, 2025. Diaz V.S. ¶¶ 10, 11; Rutgers Decl., Ex. B, Reissued Invoices and Ex. C, Invoice Comparison Chart.
11. All 159 Second Invoices were issued more than 30 calendar days after the date on which the last charge was incurred. Diaz V.S. at ¶ 14.
12. Hapag is a vessel-operating common carrier. Hapag Resp. at 5.

DISCUSSION

Pursuant to 46 U.S.C. § 41302(a), the Commission is empowered to investigate any conduct, fee, or charge the Commission believes to be in violation of the Shipping Act as amended, 46 U.S.C. §§ 40101–41310. Effective June 16, 2022, the Ocean Shipping Reform Act of 2022 (OSRA 2022) (P.L. 117-146) amended the Shipping Act of 1984 to set forth, *inter alia*, new provisions at 46 U.S.C. § 41310, entitled Charge Complaints. The provisions of 46 U.S.C. § 41310 require the Commission to “promptly investigate” charges assessed by a common carrier for compliance with 46 U.S.C. §§ 41104(a) and 41102.

If the Commission determines that a charge does not comply with §§ 41104(a) or 41102, the Commission shall, under 46 U.S.C. § 41310(c), “promptly” order the refund of charges paid or waiver of charges assessed. If the Commission determines that a charge does not comply with §§ 41104(a) or 41102, the Commission also is authorized under 46 U.S.C. § 41310(d) to issue a civil penalty under 46 U.S.C. §§ 41107 and 41109 to the common carrier making such charge.

I. Respondent’s 159 Detention and Demurrage Invoices Violated 46 U.S.C. §§ 41104(a)(14) and 41104(a)(15)

Hapag’s 159 Second Invoices (Rutgers Decl., Ex. B, Reissued Invoices) are violative of the Shipping Act and Commission regulations because they were issued more than 30 calendar days after the date on which the charge was last incurred. 46 U.S.C. §§ 41104(a)(14) and 41104(a)(15)(B); 46 C.F.R. § 541.7(a). The Commission initiated this proceeding and directed Hapag to show cause as to why it should not be ordered to refund or waive charges assessed or paid for failure to comply with 46 U.S.C. §§ 41104(a)(14) and 41104(a)(15)(B). OSC at 1. BEIC asserts that Hapag has failed to show cause.

Hapag is a vessel-operating common carrier. Hapag Resp. at 5. Section 41104(a)(14) applies to any charge assessed by a common carrier. Specifically, a common carrier shall not,

“assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) or section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations).” 46 U.S.C. § 41104(a)(14). The Commission’s basis for alleging that Hapag violated section 41104(a)(14) was the allegation that Hapag violated 46 C.F.R. § 541.7(a) and thereby assessed charges that were inconsistent or did not comply with all applicable provisions and regulations. OSC ¶ 33.

Section 41104(a)(15)(B) applies only to carrier charges for detention or demurrage. Pursuant to this section, a common carrier shall not, “invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d) showing that such charges comply with . . . (B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled ‘Interpretive Rule on Demurrage and Detention Under the Shipping Act’ (or successor rule).” 46 U.S.C. § 41104(a)(15)(B). The Commission’s basis for alleging that Hapag violated section 41104(a)(15)(B) was the allegation that Hapag violated 46 C.F.R. § 541.7(a) and thereby invoiced demurrage or detention charges that did not comply with all applicable provisions and regulations. OSC ¶ 34.

The Commission’s regulations at 46 C.F.R. § 541.7(a) require that “[a] billing party must issue a demurrage or detention invoice within thirty (30) calendar days from the date on which the charge was last incurred.” The rule then continues: “If the billing party does not issue a demurrage or detention invoice within thirty (30) calendar days from the date on which the charge was last incurred, then the billed party is not required to pay the charge.” 46 C.F.R. § 541.7(a).

For the 159 invoices identified in Attachment A to the OSC, the “Reissued Invoice” date shows that Hapag issued the subject invoices anywhere from 142 to 316 days after the date on which the last charge was incurred. Therefore, Hapag failed to issue each of the 159 Second

Invoices within 30 days after the date on which the last charge was incurred, in violation of 46 C.F.R. § 541.7(a).

By issuing the Second Invoices contrary to the requirements of 46 C.F.R. § 541.7(a), Hapag assessed Complainant for charges that were inconsistent with or non-compliant with all applicable provisions and regulations in violation 46 U.S.C. § 41104(a)(14), and it invoiced Complainant for detention or demurrage charges that did not comply with applicable provisions and regulations in violation of 46 U.S.C. § 41104(a)(15)(B).

A. History of the 30-day limit to bill demurrage and detention invoices supports BEIC’s reading of 46 C.F.R. § 541.7(a).

Industry stakeholders long sought relief from the Commission regarding the timing of when detention and demurrage bills are received. Advance Notice of Proposed Rulemaking on Demurrage and Detention Billing Requirements (ANPR), 87 Fed. Reg. 8506, 8508 (Feb. 15, 2022) (citing Commission Fact Finding Investigation No. 28 Final Report at 14, https://www2.fmc.gov/readingroom/docs/FF%20No.%2028/FF-28_FR.pdf/ ; Interpretive Rule on Demurrage and Detention, 85 Fed. Reg. 29638 at 29662; and anecdotal evidence received after the Interpretive Rule was in place). “The longer it takes to receive a demurrage or detention bill the more difficult it may be for a shipper to validate the accuracy of the charges. For example, if a shipper receives a demurrage or detention bill months after the occurrence of the charge, they may no longer possess the necessary materials to confirm the charges are correct or to access the information necessary to dispute the charges.” ANPR, 87 Fed. Reg. at 8508.

The Interim Recommendations issued on July 28, 2021 as part of Fact Finding No. 29, included a recommendation to “[i]ssue an ANPRM seeking industry views on whether the Commission should require common carriers and marine terminal operators to include certain minimum information on or with demurrage and detention billings and adhere to certain practices

regarding the timing of demurrage and detention billings.” Fact Finding No. 29, International Ocean Transportation Supply Chain Engagement, Interim Recommendations, Recommendation No. 6 at 6 (July 28, 2021) (<https://www2.fmc.gov/ReadingRoom/docs/FFno29/FF29%20Interim%20Recommendations.pdf>).

On February 15, 2021, the Commission issued an Advance Notice of Proposed Rulemaking (ANPR) as a result of the Fact Finding No. 29 recommendation. ANPR, 87 Fed. Reg. 8506 (Feb. 15, 2022). See also FMC Docket No. 22–04, Demurrage and Detention Billing Requirements-Advance Notice of Proposed Rulemaking; Fact Finding No. 29, International Ocean Transportation Supply Chain Engagement reports available at <https://www.fmc.gov/fact-finding-29/>. The purpose of the ANPR was for the Commission to consider whether or how to address continuing complaints over demurrage and detention billing practices. ANPR, 87 Fed. Reg. at 8506. The stated scope of the ANPR was to seek, “industry views on whether it should regulate the demurrage and detention billing practices of common carriers and marine terminal operators (MTO).” Id. at 8507. Comments on the ANPR closed March 17, 2022.

On June 16, 2022, the Ocean Shipping Reform Act of 2022 (OSRA 2022) was enacted. Ocean Shipping Reform Act of 2022, Pub. L. No. 117-146, 136 Stat. 1272 (2022). OSRA 2022 added new carrier prohibitions (46 U.S.C. § 41104(a)(14)–(16)) and included explicit requirements for detention and demurrage invoices (46 U.S.C. § 41104(d)–(f)). Ocean Shipping Reform Act of 2022, Pub. L. No. 117-146, sec. 7(a), 136 Stat. 1272 (2022). OSRA also charged the Commission with rulemaking on demurrage or detention to “further defin[e] prohibited practices by common carriers, marine terminal operators, shippers, and ocean transportation intermediaries under section 41102(c) of title 46, United States Code, regarding the assessment of demurrage or detention

charges.” Pub. L. No. 117-146 at § 7(b)(1). Congress specified the contents of the rulemaking should “seek to further clarify reasonable rules and practices related to the assessment of detention and demurrage charges.” Pub. L. No. 117-146 at § 7(b)(2).

With the directives from OSRA 2022, on October 14, 2022, the Commission issued a Notice of Proposed Rulemaking (NPRM) on Demurrage and Detention Billing Requirements. Notice of Proposed Rulemaking on Demurrage and Detention Billing Requirements (NPRM), 87 Fed. Reg. 62341 (Oct. 14, 2022). The NPRM proposed requiring, “common carriers and marine terminal operators to include specific minimum information on demurrage and detention invoices and [it] outlined certain billing practices relevant to appropriate timeframes for issuing invoices, disputing charges with the billing party, and resolving such disputes.” Final Rule: Demurrage and Detention Billing Requirements (Billing Rule), 89 Fed. Reg. 14330, 14331 (Feb. 26, 2024).

The proposed language of § 541.7(a) and (b) was:

§ 541.7 Issuance of demurrage and detention invoices.

- (a) A billing party must issue a demurrage or detention invoice within thirty (30) days from the date on which the charge was last incurred. If the billing party does not issue demurrage or detention invoices within the required timeframe, then the billed party is not required to pay the charge.
- (b) If the billing party invoices the incorrect party, the correct billed party must receive an invoice within thirty (30) days from the date the incorrect party disputes the charges with the billing party. An invoice to the correct billed party must be issued within sixty (60) days after the charges were last incurred. If the billed party does not receive demurrage or detention invoices within the required timeframe, then it is not required to pay the charge.

NPRM, 87 Fed. Reg. at 62358. The Commission chose, as a reasonable practice, 30 days for issuing correct invoices:

Because it appears that billing parties are capable of issuing demurrage or detention invoices, on average, within 30 days, applying this timeframe does not appear to be unreasonable. In addition, a 30-day deadline, which provides billing parties sufficient time to prepare an invoice, will also permit billed parties to verify the

charges more efficiently. As commenters noted, the more time that passes between when the charges stop accruing and when the billed party receives an invoice, it is more difficult for the billed party to verify the charge because it is less likely that they have the necessary information or documentation to confirm a charge.

Id. at 62534.

The Final Rule was issued on February 26, 2024, Billing Rule, 89 Fed. Reg. at 14330, and all parts became effective on May 28, 2024. Correction: Demurrage and Detention Billing Requirements, 89 Fed. Reg. 45772 (May 24, 2024). The only changes in the Final Rule to § 541.7(a) were the removal of the words “required timeframe” and the addition of the word “calendar” to clarify that 30 days meant 30 calendar days. See Billing Rule, 89 Fed. Reg. at 14358. Two commenters to the NPRM specifically sought, “clarification regarding a carrier’s submission of a corrected invoice, and whether that must be completed within the 30-day timeframe.” Id. at 14349. The FMC addressed the comment by stating: “The Commission declines to add time for a billing party to correct its invoice.” Id.

Elsewhere, § 541.7(b) from the NPRM became § 541.7(d) in the Final Rule. “The final language of § 541.7(d) has removed the link between a billing party reissuing an invoice with an incorrectly billed party’s disputing of that invoice. This is consistent with the incentive present in the rest of the rule. The burden of issuing a correct invoice should not rely on an incorrectly billed party to dispute the incorrect invoice.” Billing Rule, 89 Fed. Reg. at 14358. In its final form, Section 541.7(d) reads:

If the billing party invoices an incorrect person, the billing party may issue an invoice to the correct billed party provided that such issuance is within thirty (30) calendar days from the date on which the charge was last incurred. If the billing party does not issue this corrected demurrage or detention invoice within thirty (30) calendar days from the date on which the charge was last incurred, then the billed party is not required to pay the charge.

Id. at 14362; 46 C.F.R. § 541.7(d).

B. Hapag's Failure to Timely Issue Compliant Invoices Violates the Shipping Act

Hapag argues that the 30-day deadline only applies to an initial invoice and not a revised invoice. Hapag Resp. at 9. Hapag asserts:

The April 18, 2025 invoices were [] revised versions of the same invoices, tied to the same underlying charges and issued in response to objections raised in the first Charge Complaint. On these facts, the original issuance of the invoices, and not the clarifying reissuance is the event that is the legally relevant event for the purpose of the timing mandated by § 541.7.

Id. Hapag's interpretation of the invoicing requirements is incorrect.

The facts presented in the OSC ¶¶ 8–29 and admitted by Hapag in its Response to the Show Cause Order, Hapag Resp. at 5–10, establish that Hapag issued its Initial Invoices to Complainant between 2 and 13 days after the date on which the related charges were last incurred. However, as the OSC alleges, OSC ¶ 9, and Hapag admits, Hapag Resp. at 10, these invoices did not contain all required information, either through omission or inaccuracy. Failure to include all required information renders these invoices noncompliant with the Shipping Act at 46 USC § 41104(d) and Commission regulations at 46 C.F.R. § 541.6.

The OSC ¶ 27 alleges all 159 identified Invoices show a “Reissued Invoice” date of April 18, 2025. Hapag concurs. Rutgers Decl. ¶ 9; Rutgers Decl., Ex. B, Reissued Invoices and Ex. C, Invoice Comparison Chart. At ¶ 28, the OSC alleges the date of April 18, 2025 ranges from 142–316 days after the date on which the last charge was incurred. Hapag does not concur with this allegation, choosing instead to focus the Commission's attention on the timeliness of its original invoices.

Hapag cannot escape the facts shown by its own evidence. A review of the Second Invoices submitted as Ex. B to the Rutgers Declaration supports the date range alleged in the OSC ¶ 28. According to the chart submitted as Ex. C to the Rutgers Declaration the date of the Initial Invoice

issued latest in time (Inv. No. 2124657682) was December 10, 2024. Hapag agrees that all Initial Invoices were issued between 2 and 13 days after the date of the last charge. Rutgers Decl. ¶ 9. The reissue date of April 18, 2025 is more than four months later than December 10, 2024. Four months minus either 2 or 13 days is well outside the 30 calendar days allowed for issuing invoices under 46 C.F.R. § 541.7(a). Consequently, Hapag's Second Invoices were untimely.

Shipping Act sections 41104(a)(15) and 41104(d) and Commission Regulations at 46 C.F.R. § 541.6(a) all place the responsibility on the billing party to issue accurate invoices. The Congress mandated that invoices assessing demurrage or detention should be accurate and complete with all of the requirements listed in 46 U.S.C. § 41104(d)(2). Congress felt invoice accuracy so critical that charges assessed via a statutorily deficient invoice "shall eliminate any obligation of the charged party to pay the applicable charge." 46 U.S.C. § 41104(f); accord 46 C.F.R. § 541.5. Hapag admits it did not meet its obligations when it says that its Second Invoices include "required information that was missing or incorrect" in its Initial Invoices. Hapag Resp. at 10.

Commission Regulations at 46 C.F.R. § 541.7(a) place a 30 calendar day limit from the date of the last charge for the billing party to meet this responsibility. In the Notice of Proposed Rulemaking for billing detention and demurrage, the Commission stated that 30 days was a reasonable timeframe for issuing a demurrage or detention invoice, a timeframe that permitted billed parties to verify any charges more efficiently. NPRM, 87 Fed. Reg. at 62354. In the final rulemaking, the Commission was clear and emphatic in response to comments concerning the ability to cure invoices. "The Commission declines to add time for a billing party to correct its invoice." Billing Rule, 89 Fed. Reg. at 14349.

Hapag's view is incompatible with its statutory and regulatory responsibilities and the intent behind these imposed obligations. Hapag argues: "The statute does not provide that a timely invoice becomes untimely merely because a revised or clarified version is later sent to the same billed party, nor does such a revision or clarification render the charges uncollectable against its billed party." Hapag Resp. at 10. "A contrary interpretation, as the one [BEIC] appears to suggest, is inconsistent with the text of § 541.7, departs from established principles of regulatory interpretation, and raises significant fair notice concerns."

Hapag's arguments regarding the text of § 541.7 and principles of regulatory interpretation, conflict with Supreme Court precedent. The Supreme Court has made clear that a court "must 'carefully consider' the text, structure, history, and purpose of a regulation, in all the ways it would if it had no agency to fall back on" in order to determine whether a regulation is ambiguous and to what extent if any an agency's preferred interpretation is entitled to deference. Kisor v. Wilkie, 588 U.S. 558, 575 (2019) (internal citation omitted). Here, the regulatory history is clear, as are the Commission's statements of purpose. See e.g. Billing Rule, 89 Fed. Reg. at 14353 ("[t]he main purpose of this rule is to provide clarity and transparency of invoices and the billing process."), and at 14358 (emphasizing the rules purpose to provide "a swift timeline for detention and demurrage billing").

Hapag's interpretation ignores much of the statements of purpose and the Commission's concern regarding exposing billed parties to invoices greatly separated in time from their attendant charges, see id. at 14330, and instead focuses on whether the language of 46 C.F.R. § 541.7(a) requiring that "a billing party must issue a demurrage or detention invoice" within 30 days (emphasis added) permits a billing party to issue any demurrage or detention invoice, so long as it

is addressed to the correct party. Cf. 46 C.F.R. § 541.7(d) and Hapag Resp. (Hapag agrees this regulation limits the issuance of corrected invoice when the wrong party is initially billed.)

Hapag does not indicate how far in the future it would be able to issue a corrected invoice, but presumably Hapag believes there is no limit. Under Hapag’s theory of invoicing, it would be allowed to issue a corrected, revised, or clarified invoice to the correct party at any time, whether day 31 or year 31 so long as it met the 30-day requirement with at least one invoice. This interpretation leads to the absurd and self-defeating result in which a common carrier would be permitted, and even incentivized, to provide any invoice to their billed party as soon as possible without regard to its compliance with the minimum information requirements of the Shipping Act, in order to secure the right to issue a corrected invoice at any time in the future. Such a reading would render the timeline requirements of § 541.7(a) in tension with the minimum information requirements of the rule’s prior provisions, (see 46 C.F.R. §§ 541.4–.6), and flies in the face of the familiar whole-text canon of construction, to consider and interpret a provision of the text in concert with the rest of the text. See Maracich v. Spears, 570 U.S. 48, 68 (2013) (“The provisions of a text should be interpreted in such a way that renders them compatible, not contradictory” (quoting A. Scalia & B. Garner, *Reading Law: The Interpretation of Legal Texts* 180 (2012))).

Hapag attempts to rescue its reading of § 541.7(a) by selectively referring to a statement in the Final Rule made in response to comments concerning the timeline to correct a noncompliant invoice. The Commission noted that:

[I]ssuing an invoice that does not comply with OSRA 2022’s requirements does not permanently eliminate the billed party’s obligation to pay those charges. In particular 46 U.S.C. § 41104(f) cancels the obligation to pay an invoice that does not conform to OSRA but does not prevent the carrier from reissuing the charges on an invoice/bill that *does* meet the statutory requirements.

Billing Rule, 89 Fed. Reg. at 14349.

Hapag contends that in this statement the Commission expressly permitted a carrier to reissue a corrected invoice and restore the obligation to pay at any time. However, this reading ignores the immediately preceding statement: “The Commission declines to add time for a billing party to correct its invoice.” Id. The two statements taken together and read in light of the Commission’s considered refusal to implement a requirement that a billed party raise a dispute in time, id. (“[T]he Commission also declines to add a requirement that billed parties inform billing parties of any inaccuracies.”), showcase that the Commission considered the 30-day requirement in § 541.7(a) to be met through the submission of a compliant invoice, not merely any invoice. Failure to initially provide a compliant invoice does not permanently remove the billed party’s obligation to pay so long as a correct invoice is submitted within the 30-day period. That did not happen here.

Common carriers are required to issue invoices that are both complete and timely. Hapag’s Initial Invoices were incomplete, missing required information, and therefore noncompliant. If Hapag had reissued complete invoices within 30 calendar days of the last charge, likely they would have been compliant and timely. However, when Hapag issued the 159 Second Invoices (Rutgers Decl., Ex. B, Reissued Invoices) between 142 and 316 days after the last charge was incurred, Hapag did not meet its regulatory obligation of timeliness under 46 C.F.R. § 541.7(a) and thus violated 46 U.S.C. §§ 41104(a)(14) and 41104(a)(15)(B). Hapag’s Second Invoices were untimely. Hapag has not met its statutory and regulatory burden to provide compliant and timely invoices to Complainant.

Regarding fair notice concerns, Hapag contends that, were the Commission to formally adopt the interpretation discussed above, it would amount to an impermissible and unfair surprise to the regulated entities. See Kisor, 588 US at 579. The Supreme Court notes in Kisor that it has declined to extend deference when an agency disrupted expectations, whether through substituting

one view of a rule for a new one or by imposing retroactive liability for longstanding conduct that has not been addressed. Id.; see also Christopher v. SmithKline Beecham Corp., 567 U.S. 142, 155–56 (2012) (“Petitioners invoke the DOL’s interpretation . . . for conduct that occurred well before that interpretation was announced. To defer to the agency’s interpretation in this circumstance would seriously undermine the principle that agencies should provide regulated parties “fair warning of the conduct [a regulation] prohibits or requires.”).

The type of unfair surprise considered by the Kisor and Christopher Courts is not possible in this matter. The Commission published its final rule and addressed the public comments on April 26, 2024, and the regulations became effective as of May 28, 2024. The Initial Invoices were issued to Oceana between June 13, 2024, and December 10, 2024, and all corrected invoices were issued on April 18, 2025. The final rule and the regulatory requirements had been in place for several months prior to the events in this matter, and Hapag was an active participant in the public comment process. The Commission’s refusal to add a requirement that the billed party timely dispute an invoice was made in direct response to comments submitted by Hapag. Biling Rule, 89 Fed. Reg. at 14347. It is not clear how any regulated entity, let alone one as actively involved in the public comment period for these rules, could be unfairly surprised by the Commission adopting a position it first adopted when the rules were set out.

Hapag’s arguments are unavailing. Its failure to issue lawful detention and demurrage invoices within 30 calendar days of the date of the last charge in compliance with 46 C.F.R. § 541.7(a) and thus violating 46 U.S.C. §§ 41104(a)(14) and 41104(a)(15)(B) establishes that the Commission should promptly order the waiver or cancellation of all 159 invoices totaling \$1,191,470.00 and consider imposing a civil penalty.

II. The Commission has the authority to adjudicate, determine violations of the Shipping Act, and assess civil penalties if it determines a violation occurred.

A. As discussed above, BEIC asserts that Respondent's 159 Invoices Violated 46 U.S.C. §§ 41104(a)(14) and 41105(a)(15)(B)

BEIC agrees that no waiver of the invoiced charges nor civil penalty should be imposed under 46 U.S.C. §§ 41310(d), 41107, and 41109 if the Commission determines that Hapag did not violate 46 U.S.C. § 41104(a) with respect to the Second Invoices.

However, this show cause proceeding is precisely the process via which the Commission may or may not “find that Respondent’s action in assessing and charging detention and demurrage charges with respect to the 159 Second Invoices, which are identified in Attachment A, constitutes a violation of 46 U.S.C. §§ 41104(a)(14) and 41104(a)(15)(B).” OSC at 6. Although Hapag makes the conclusory statement “the subject invoices were both timely under § 541.7(a), and otherwise not governed by the 30-day calendar timeframe imposed in § 541.7,” Hapag Resp. at 25, BEIC disagrees with Hapag’s statement, which is the heart of the dispute sought to be resolved by this proceeding.

Pursuant to this proceeding, if the Commission finds that Respondent violated the §§ 41104(a)(14) and 41104(a)(15)(B), the Commission has the authority and mandate pursuant to 46 U.S.C. §§ 41310(d), 41107, and 41109 to order waiver and impose a civil penalty.

B. Seeking a Civil Penalty in this Proceeding is Consistent with the Seventh Amendment

Hapag argues that to the extent that this proceeding seeks civil monetary penalties, it violates the Seventh Amendment under SEC v. Jarkesy, 603 U.S. 109 (2024). Hapag is incorrect.

Proceedings seeking civil penalties before the FMC, including this one, are consistent with the Seventh Amendment. Claims brought pursuant to 46 U.S.C. §§ 41104(a)(14) and 41104(a)(15)(B) have no common law analogs, and “in any case they fall within the public rights

exception to the rule applied in Jarkesy, because Congress has permissibly authorized the FMC to adjudicate them pursuant to its plenary power to regulate foreign commerce.” Mediterranean Shipping Company, S.A.—Possible Violations of the Shipping Act, 46 U.S.C. §§ 41102(c), 40501, and 41104(a)(2)(A) (MSC), *48, FMC Jan. 6, 2026 (FMC Reading Room).

The Seventh Amendment provides: “In suits at common law, where the value in controversy shall exceed twenty dollars, the right of trial by jury shall be preserved” U.S. Const. amend. VII. A two-step inquiry is used to determine whether the Seventh Amendment mandates a jury trial to adjudicate a particular statutory claim. Jarkesy, 603 U.S. at 120 (citing Granfinanciera, S.A. v. Nordberg, 492 U.S. 33, 42–42 (1989); Tull v. United States, 481 U.S. 412 (1987)).

1. This Proceeding is not at Common Law.

The first step of the inquiry considers whether the Seventh Amendment is implicated for a suit “at common law” because the claim is “legal in nature.” Jarkesy, 603 U.S. at 122 (citing Granfinanciera, 492 U.S. at 53). A claim is determined to be legal in nature based on “the cause of action and the remedy it provides,” id. at 122–23, with remedy being “the ‘more important’ consideration,” id. at 123 (quoting Tull, 481 U.S. at 421). A monetary remedy that “is designed to punish or deter the wrongdoer” is legal, id., as it is “a type of remedy at common law that could only be enforced in courts of law,” id. (quoting Tull, 481 U.S. at 422). In contrast, an equitable remedy is designed “solely to ‘restore the status quo.’” Id. (quoting Tull, 481 U.S. at 422). In Jarkesy, the Court determined that the SEC’s civil penalties were legal because the factors “concern[ed] culpability, deterrence, and recidivism;” and the SEC is not obligated to return any money to victims. Id. at 123–24. The nature of the remedy “effectively decide[d]” that the suit was at common law, but the Court confirmed by comparing the securities fraud at issue in Jarkesy with

its analog, common law fraud. Id. at 125; see id. at 125–26. The Court explained that “[b]oth target the same basic conduct: misrepresenting or concealing material facts,” and noted that “Congress incorporated prohibitions from common law fraud into federal securities law.” Id. at 125. Accordingly, the Court concluded that the securities fraud claim at issue was legal in nature and the Seventh Amendment applied. Id. at 126.

BEIC asserts that this proceeding to determine whether sections 41104(a)(14) and 41104(a)(15)(B) were violated is not at common law. While this proceeding (in the event a violation is found) seeks the legal remedy of “civil penalties designed to punish rather than compensate,” MSC, at *50, and a legal remedy is almost dispositive that the claim is legal in nature, the Seventh Amendment does not appear to apply to the section 41104(a) claims here because there is no common law analog to the statutory assessment and invoice requirements.

Unlike the federal securities fraud claim in Jarkesy, which the Court found closely “replicate[d]” common law fraud claims, BEIC is not aware of any common law claim replicated by 46 U.S.C. §§ 41104(a)(14) and 41104(a)(15)(B). See MSC, at *51 (citing Jarkesy, 603 U.S. at 120). Congress created sections 41104(a)(14) and 41104(a)(15) in the OSRA 2022 amendments to the Shipping Act, “in accord with its assessment of evolving needs in the regulation of foreign maritime commerce.” See OSRA 2022; MSC, at *51.

Hapag does not argue that there is any specific common law analog, but asserts that “the legal nature of an action to collect a civil penalty historically was not affected by the fact that it may have had a connection to maritime matters.” Hapag Resp. at 29. Hapag quotes a treatise: “In contrast to *in rem* admiralty suits, ‘[i]f the suit is *in personam* to collect a penalty from some individual or corporation, then the right to a jury trial exists in every instance because the suit is on the common law side.” Id. (citing 2 Benedict on Admiralty § 141 (7th ed. 2026)). Hapag also

quotes United States ex rel. Pressprich Son Co. v. James W. Elwell & Co., 250 F. 939, 941 (2d Cir. 1918): “We think that the District Court had no jurisdiction in admiralty over the collection of a penalty by proceedings in personam’ notwithstanding that the substance of the dispute concerned ‘damages due to the detention of [a] ship in violation of the contract of carriage.’” Hapag Resp. at 30.

The following caselaw provides helpful context:

[A]s it is well-settled law that common law remedies are not appropriate nor competent to enforce a maritime lien by a proceeding *in rem*, and consequently that the jurisdiction conferred upon the District Court, so far as respects that mode of proceeding, is exclusive.

State legislatures have no authority to create a maritime lien nor can they confer any jurisdiction upon a State court to enforce such a lien by a suit *in personam* or by a proceeding *in rem* at his election. Such a party may proceed in rem in the admiralty, and if he elects to pursue his remedy in that mode he cannot proceed in any other form, as the jurisdiction of the admiralty courts is exclusive in respect to that mode of proceeding, but such a party is not restricted to that mode of proceeding, even in the Admiralty Court, as he may waive his lien and proceed in personam against the owner and master of the vessel in the same jurisdiction, nor is he compelled to proceed in the admiralty at all, as he may resort to his common law remedy in the State courts, or in the Circuit Court, if he and his debtor are citizens of different States.

Suitors, by virtue of the saving clause in the ninth section of the Judiciary Act conferring jurisdiction in admiralty upon the District Courts, have the right of a common law remedy in all cases ‘where the common law is competent to give it,’ and the common law is as competent as the admiralty to give a remedy in all cases where the suit is in personam against the owner of the property.

Leon v. Galceran, 78 U.S. 185, 190–91 (1870) (emphasis added). In other words, for certain maritime claims, a party could choose whether to bring a dispute under admiralty jurisdiction (the admiralty side of a court) or at common law (the common-law side of a court). See, e.g., Panama R. Co. v. Johnson, 264 U.S. 375, 390–91 (1924) (“recognize the admiralty jurisdiction as open to the adjudication of all maritime cases as a matter of course, and to permit a resort to common-law remedies through appropriate proceedings in personam as a matter of admissible grace”).

In modern times, different procedures are applied in federal court depending on the jurisdiction designated.

Perhaps the most salient distinction persisting between maritime claims brought in admiralty and at law is the right to a jury trial. The Seventh Amendment does not extend to cases falling within the admiralty jurisdiction; therefore, in the absence of a statute providing otherwise, a district court whose subject matter jurisdiction is premised solely upon admiralty decides the case without a jury.

Coronel v. AK Victory, 1 F. Supp. 3d 1175, 1183 (W.D. Wash. 2014) (citing Fitzgerald v. U.S. Lines Co., 374 U.S. 16, 17 (1963); Fed. R. Civ. P. 38(e)). Rule 38(e) of the Federal Rules of Civil Procedure states, “These rules do not create a right to a jury trial on issues in a claim that is an admiralty or maritime claim under Rule 9(h).”

Because sections 41104(a)(14) and 411014(a)(15)(B) are not rooted in common law claims, the Seventh Amendment does not apply to this proceeding.

2. This Proceeding Falls Within the Public Rights Exception.

If a case implicates the Seventh Amendment, the second step of the analysis is determining whether the suit falls within the public rights exception. See Jarkesy, 603 U.S. at 120. The public rights exception encompasses a category of cases involving public rights that “historically could have been determined exclusively by [the executive and legislative] branches.” Id. at 128 (quoting Stern v. Marshall, 564 U.S. 462, 493 (2011)). Public rights include “collection of federal government revenue, the granting of public benefits, the administration of public lands, relations with Indian tribes, and *the regulation of foreign commerce*, as well as the assessment of tariffs on foreign goods.” MSC, at *50 (citing Jarkesy, 603 U.S. at 128–31). If a case falls within the public rights exception, “Congress may assign the matter for decision to an agency without a jury, consistent with the Seventh Amendment.” Jarkesy, 603 U.S. at 127. BEIC asserts that because this

case falls within the public rights exception, Congress's assignment to the Commission to adjudicate this case without a jury does not offend the Seventh Amendment.

The Jarkesy Court, discussing Oceanic Steam Navigation Co. v. Stranahan, 214 U.S. 320 (1909), stated: "When a steamship company challenged the penalty under Article III, we upheld it. Congress's power over foreign commerce, we explained, was so total that no party had a 'vested right' to import anything into the country." Jarkesy, 630 U.S. at 129 (quoting Oceanic Steam Navigation Co., 214 U.S. at 335); see also 603 U.S. at 129–30 & n.1. Foreign commerce is a "subject[] peculiarly within the authority of the legislative department." Oceanic Steam Navigation Co., 214 U.S. at 339.

The Shipping Act and the exclusive jurisdiction imparted to the Federal Maritime Commission to enforce it are an exercise of "Congress's [total] power over foreign commerce." Congress enacted the Shipping Act to regulate "the foreign commerce of the United States" in order to "ensure [] efficient, competitive, and economical transportation system in the ocean commerce of the United States." 46 U.S.C. § 40101 (Purposes); see 46 U.S.C., Chapter 411 (Prohibitions and Penalties), Chapter 413 (Enforcement). The Commission in MSC explained that "the Constitution itself makes clear that the Framers sought national uniformity in the future regulation of maritime commerce—for example in the Port Preference Clause—underlining that such uniformity was not a well-recognized feature of the preexisting common law." MSC, at *56 (citing U.S. Const. Art. I, Sec. 9, Clause 6 (barring preferences between ports because of their location in different states); The Federalist Papers (C. Rossiter ed. 1961), No. 22 (Hamilton) at 144 (the lack of national authority over commerce had harmed efforts to gain favorable foreign commercial relations and would "continue to do so as long as the same obstacles to a uniformity of measures continue to exist"); FMC v. S.C. State Ports Auth., 535 U.S. 743, 767–68 (2002) ("the

Federal Government undoubtedly possesses an important interest in regulating maritime commerce”)).

In Jarkesy, which did not involve any of the recognized areas in the public rights category, the Court considered the applicability of the public rights exception by comparing the securities fraud claim to the statutes at issue in Granfinanciera and Atlas Roofing Co. v. Occupational Safety and Health Review Commission (Atlas Roofing), 430 U.S. 442 (1977). See Jarkesy, 603 U.S. at 132–40. Regarding the statute examined in Granfinanciera, the Court explained that “Congress . . . had ‘simply reclassified a pre-existing, common-law cause of action,’ a ‘purely taxonomic change,’ rather than creating anything new.” MSC, at *50 (citing Granfinanciera, 492 U.S. at 60–61). In contrast, in passing the statute at issue in Atlas Roofing, Congress “‘did not borrow its cause of action from the common law,’ nor did it ‘reiterate common law terms of art’; instead, it created a new set of standards that ‘resembled a detailed building code.’” MSC, at *50 (citing Jarkesy, 603 U.S. at 136, 137, 138–40). Based on this comparison, the Jarkesy Court concluded that the securities fraud claim was similar to the claims in Granfinanciera and distinguishable from the claims in Atlas Roofing, and therefore, the public rights exception did not apply.

The opposite is true here. Sections 41104(a)(14) and 41104(a)(15)(B) are similar to the statute in Atlas Roofing and distinguishable from the statute in Granfinanciera. As the claim in Atlas Roofing, sections 41104(a)(14) and 41104(a)(15)(B) are part of the new standards introduced in OSRA 2022 without a cause of action or terms of art borrowed from common law. Sections 41104(a)(14) and 41104(a)(15)(B) are not reclassified or taxonomic changes from an existing common law claim and are new standards unlike the claim in Granfinanciera. Therefore, the public rights exception applies.

Hapag argues that this proceeding does not fall within the public rights exception because “demurrage and detention have common-law roots.” Hapag Resp. at 30. Hapag quotes Norfolk Southern Railway Co. v. Groves, 586 F.3d 1273, 1276 (11th Cir. 2009): “The right to assess detention or demurrage charges against parties to a transportation contract for delay in releasing transportation equipment is well established at common law.” However, Norfolk Southern is inapposite because it concerned the assessment of railroad demurrage. “[C]ontracts involving land based common carriers are governed by the principles of common law, and not maritime law.” CSX Transp., Inc. v. City of Pensacola, Fla., 936 F. Supp. 880, 884 (N.D. Fla. 1995) (citing Middle Atl. Conf. v. United States, 353 F. Supp. 1109, 1115 (D.D.C. 1972) (three judge court)).

Norfolk Southern itself distinguished between railroad demurrage and maritime demurrage. “Prior to rail transport, demurrage was recognized in maritime law as the amount to be paid for delay in loading, unloading, or sailing beyond the time specified. Unlike maritime law, a railroad carrier can collect demurrage even if the shipping contract contains no provision to that effect.” Norfolk S. Ry. Co., 586 F.3d at 1276. Explaining further differences:

In maritime transactions the time schedule for such acts was frequently fixed in the charter party or the bill of lading but if not so agreed upon there was an implied promise by the shipper or consignee to perform such activities within a reasonable time, or, in default thereof, to become liable for demurrage. If a specific demurrage rate was not fixed in the charter party or bill of lading a reasonable rate would be required and the law recognized that the ship owner or master had a lien on the cargo for such demurrage even though the bill of lading did not contain a demurrage clause.

Middle Atl. Conf., 353 F. Supp. at 1113–14. In contrast:

Where the master of a ship was deemed to contract with the freight, in the transportation contracts of our rail and motor carriers the carrier is considered to contract directly with the shipper. Thus, to make shippers and others liable to the carrier in connection with the transportation of goods requires a stronger direct contractual base between the parties than in maritime contracts which historically left more rights to be determined according to the reciprocal privileges between the

master and the cargo. Land carriers in the United States must rely upon liabilities created according to common law principles.

Id. at 1114–15. Therefore, maritime demurrage and detention decidedly do not have common law roots. “Indeed, the phrase ‘foreign commerce of the United States’ would have no meaning in the context of common law claims ‘ordinarily decided in English law courts’ at the time the United States was founded.” MSC, at *55 (quoting Granfinanciera, 492 U.S. at 41–42).

In sum, BEIC asserts that the claims under 46 U.S.C. §§ 41104(a)(14) and 41104(a)(15)(B) fall within the public rights exception due to being an exercise of Congress’s plenary power to regulate foreign commerce and part of the new standards introduced in OSRA 2022 without roots in common law. Therefore, this proceeding can be adjudicated by the Commission without a jury and consistent with the Seventh Amendment.

C. The Charge Complaint Interim Procedure Does Not Require Notice and Comment Rulemaking

The interim procedures for Charge Complaints are procedural rules that do not require notice and comment rulemaking.

Among the new authorities in OSRA 2022 was the Charge Complaint process. OSRA 2022, Pub. L. No. 117-146, § 10, 136 Stat. 1272, 1277-78 (2022) codified at 46 U.S.C. § 41310. Charge Complaints are a self-executing part of OSRA 2022, and the Commission so advised the public. Industry Advisory — Interim Procedures for Submitting “Charge Complaints” Under 46 U.S.C. § 41310, (July 14, 2022) (<https://www.fmc.gov/articles/industry-advisory-interim-procedures-for-submitting-charge-complaints-under-46-u-s-c-%c2%a7-41310/>) (“This guidance communicates the timely implementation of a self-executing provision of PL 117-146.”).

A law is “self-executing if it supplies a sufficient rule by means of which the right given may be enjoyed and protected, or the duty imposed may be enforced; and it is not self-executing

when it merely indicates principles, without laying down rules by means of which those principles may be given the force of law.” Davis v. Burke, 179 U.S. 399, 403 (1900). Charge Complaints meet these requirements.

OSRA 2022 under section 10 (Charge Complaint) gave the FMC the statutory duty to accept, investigate, make determinations of compliance regarding carrier charges, and to order remedies and penalties if non-compliance is found. 46 U.S.C. § 41310. Under 46 U.S.C. § 41310(b) the Commission will “promptly investigate the charge with regard to compliance with section 41104(a) and section 41102.” The Commission designed its interim process using its existing practice regulations (46 C.F.R. Part 502) to meet that mandate. The Commission’s rules in Part 502 have been promulgated through notice and comment rulemaking. e.g. 46 C.F.R. § 502.91 81 Fed. Reg. 93831 (Dec. 22, 2016) (as to reorganization); 77 Fed. Reg. 61519 (Oct. 10, 2012).

With new authority for a new type of complaint, the Commission was obligated to quickly establish a process by which billed parties could object to charges assessed by common carriers. The Commission did so when it adopted the Interim Charge Complaint process. Industry Advisory — Interim Procedures for Submitting “Charge Complaints” Under 46 U.S.C. § 41310, (July 14, 2022) (<https://www.fmc.gov/articles/industry-advisory-interim-procedures-for-submitting-charge-complaints-under-46-u-s-c-%c2%a7-41310/>). More fulsome procedures were announced on December 1, 2022. FMC Announces Interim Procedures for Processing Charge Complaints, Posted December 1, 2022 on www.fmc.gov, Wayback Machine capture of posting on Dec. 2, 2022, (<https://web.archive.org/web/20221202023433/https://www.fmc.gov/fmc-announces-interim-procedures-for-processing-charge-complaints/>).

Key here are the words “process” or “procedures” because that is what the interim procedures are. They tell the public the process and procedures the Commission will use to accept, investigate, make determinations of compliance regarding carrier charges, and to order remedies and penalties if non-compliance is found. As procedural rules, they do not require notice-and-comment rulemaking. 5 U.S.C. § 553(b)(4)(a). The “critical feature” of a procedural rule “is that it covers agency actions that do not themselves alter the rights or interests of parties, although it may alter the manner in which the parties present themselves or their viewpoints to the agency.” James V. Hurson Associates, Inc. v. Glickman, 229 F.3d 277, 280 (D.C. Cir. 2000) (internal quotation marks omitted). Nat’l Min. Ass’n v. McCarthy, 758 F.3d 243, 250 (D.C. Cir. 2014).

Here, the interim procedures do not alter the rights or interests of parties. Nor do the interim procedures change the way the parties present themselves or their viewpoints to the agency. The interim procedures merely link the charge complaint requirements to existing Commission process. (“The common carrier is provided the opportunity to “show cause” why the common carrier’s actions should not be found to constitute a violation of 46 U.S.C. §§ 41104(a) or 41102. The common carrier may submit an affidavit(s) of fact, memoranda of law, and any documentary evidence in support of its position.” FMC Guidance on Charge Complaint Interim Procedure, FAQ: As the common carrier named in a Charge Complaints proceeding, what will the formal process look like?, [Guidance on Charge Complaint Interim Procedure - Federal Maritime Commission](#).) (last viewed April 27, 2026.).

The interim procedures are proper without notice and comment rulemaking. Although the Commission has expressed intent to rulemake and codify the Charge Complaint process, it is not precluded, “from addressing the issue in an adjudicatory proceeding rather than a rulemaking: the determination of whether to proceed by rulemaking or adjudication to determine issues within the

agency's purview lies solely within the agency's discretion." Ocean Common Carrier Status of Shanghai Hai Hua Shipping Co., Ltd. (HASCO) and SNL/HASCO Cross Space Charter and Sailing Agreement: FMC Agreement No. 011807, Dkt. 02-09, Order of Sept 5, 2002, 29 SRR 842, 848 (Sept. 5, 2002) citing SEC v. Chenerv, 332 U.S. 194,202 (1947) ("the choice made between proceeding by general rule or by individual, ad hoc litigation is one that lies primarily in the informed discretion of the agency. ").

D. The Commission's order to show cause procedure is proper and affords Hapag due process.

Hapag argues that this proceeding is deficient and does not provide it with the full due process to which it is entitled. Hapag is wrong.

1. The Commission has the authority to commence an adjudicatory hearing via an order to show cause

The Commission's authority to commence a show cause process is not derived from the interim procedures for the Charge Complaint process. Congress singularly gave the Federal Maritime Commission the authority to enforce the Shipping Act. As of the enactment of OSRA 2022 on June 16, 2022, the Shipping Act included Charge Complaints.

OSRA 2022 under section 10 (Charge Complaints) gave the FMC the statutory duty to accept, investigate, make determinations of compliance regarding carrier charges, and to order remedies and penalties if non-compliance is found. 46 U.S.C. 41310. On its own initiative, the Commission may commence a proceeding for adjudication by issuing an appropriate order. 46 C.F.R. § 502.61(b). Orders to show cause are expressly provided for in the Commission's regulations. 46 C.F.R. § 502.91. "The Commission may institute a proceeding using an order to show cause. Revocation Of Ocean Transportation Intermediary License No. 017843 - Washington Movers, Inc., Order Regarding Preliminary Issues, 34 SRR 27, 32 (FMC Feb. 12, 2016); 46 C.F.R.

§ 502.91. In the case of In Re Pacific Coast European Conference, the Commission stated, “The order to show cause was expressly provided for by the Board rules, it fully specified the charges against the Conference and alleged that respondents’ actions had prevented the Board from carrying out its statutory duties, and it was well within powers vested in the Board by the Act.” 7 F.M.C. 27, 38 (1961) (footnotes omitted). Thus, the Commission has the authority to issue the order to show cause commencing this proceeding to determine whether Hapag has violated sections 41104(a)(14) and (15)(B) of the Shipping Act by assessing and issuing detention and demurrage invoices not in accordance with Commission regulations at 46 C.F.R. 541.7(a).

2. This Order to Show Cause Proceeding is Consistent with Due Process

At a minimum, due process requires, “that deprivation of life, liberty or property by adjudication be preceded by notice and opportunity for hearing appropriate to the nature of the case.” Mullane v. Central Hanover Bank & Tr. Co., 339 U. S. 306, 313 (1950). “Some form of hearing is required before an individual is finally deprived of a property interest.” Wolff v. McDonnell, 418 U.S. 539, 557–58, (1974). See, e.g. Phillips v. Commissioner of Internal Revenue, 283 U.S. 589, 596–97 (1931). See also Dent v. West Virginia, 129 U.S. 114, 124–25 (1889).

The OSC provided Hapag with notice. Due process and Commission regulations require that “Persons entitled to notice of hearings...will be duly and timely informed of the nature of the proceeding, the legal authority and jurisdiction under which the proceeding is conducted, and the terms, substance, and issues involved, or the matters of fact and law asserted, as the case may be.” 46 C.F.R. § 502.61(c). Here, the Order to Show Cause served upon Hapag fulfilled this requirement. The OSC contained the requisite information. See, generally, Dkt. CC-002 OSC (March 6, 2026). Hapag was notified when served with the OSC opening this proceeding on March 6, 2026. Dkt. CC-002, OSC doc.1, (March 6, 2026) (<https://www2.fmc.gov/readingroom/proceeding/CC-002/>);

Pacific Coast European Conference Port Equalization Rule, 7 F.M.C. 623, 627 (1963) (service of order was timely notice of facts and law asserted).

The show cause proceeding provides Hapag with a hearing. Rule 91 of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.91, provides that “[t]he Commission may institute a proceeding by order to show cause ... [which] may require the person named therein to answer, and shall require such person to appear at a specified time and place and present evidence upon the matters specified.” “To the extent that procedural due process requires a hearing, the Order to Show Cause provides such a hearing.” Exclusive Tug Franchises - Marine Terminal Operators Serving the Lower Mississippi River, 2001 WL 1420467, at *15.

3. A limited proceeding does not deny Hapag due process

To meet OSRA 2022’s mandate to promptly investigate a Charge Complaint, the Commission chose the show cause process and to waive certain of its other procedures. “A show cause proceeding will be conducted on a fast-track basis to provide an early determination concerning the shipper’s entitlement to refund. *Procedures not consistent with achieving an expedited decision on refunds or waivers, such as discovery or oral argument, will be waived for the refund proceeding.*” FMC Guidance on Charge Complaint Interim Procedure, FAQ: As the common carrier named in a Charge Complaints proceeding, what will the formal process look like?, <https://www.fmc.gov/ocean-shipping-reform-act-of-2022-implementation/guidance-on-charge-complaint-interim-procedure/> (last visited April 27, 2026) (emphasis added). The Commission has the authority to waive rules in Part 502 “if the expeditious conduct of business so requires.” 46 C.F.R. § 502.10.

The Commission used its authority under section 502.10 to waive certain rules in a prior Charge Complaint adjudication and upheld the waiver when the contrary ruling would likely delay

or prolong the proceeding. In Mediterranean Shipping Company – Investigation for Compliance with §§ 41104(a) and 41102 of Demurrage or Detention Charges Under the Charge Complaint Procedures of 46 U.S.C. § 41310 (MSC CC), the commission denied two separate petitions filed by the respondent pursuant to waived Subpart E. Denying the petition to dismiss the Commission said, “If a respondent is permitted to file disallowed substantive pleadings, it may hinder the Commission from “promptly investigat[ing] the charge with regard to compliance with section 41104(a) and section 41102” as required under the Shipping Act’s charge complaints provisions at 46 U.S.C. § 41310” Docket No. CC-001, 7 F.M.C.2d 14, 17 (FMC Sep. 9, 2023). Similarly, regarding MSC’s petition to file a sur-reply the Commission said, “As with MSC’s Petition to Dismiss, if a respondent in a charge complaint proceeding is permitted to file expressly disallowed substantive pleadings, it may hinder the Commission’s prompt investigation of charges under the Shipping Act’s charge complaints provisions at 46 U.S.C. § 41310.” MSC CC, 7 F.M.C.2d at 19.

Outside of Charge Complaints, the Commission has recognized that the rules governing show cause proceedings “allow . . . for discretion in adapting the show cause procedure to requirements of the particular case.” Pac. Coast Euro. Conf. Port Equalization Rule, 7 F.M.C. 623, 626 (1963)). “An agency is not necessarily required to afford respondents a full evidentiary hearing when it proceeds under a show cause proceeding.” Exclusive Tug, 2001 WL 1420467, at *16. For example, in Persian Gulf Outward Freight Conference v. Federal Maritime Commission, 375 F.2d 335, 341 (D.C. Cir. 1967), the court found that the Commission had provided respondents a sufficient hearing in a show cause proceeding although they were not given the opportunity to file affidavits of fact. The Commission issued an order to show cause why tariff revisions should not be declared unlawful, and it limited the proceeding to the filing of memoranda of law and oral argument. Persian Gulf, 375 F.2d 335 at 337. Furthermore, the D.C. Circuit in American Airlines,

Inc. v. Civil Aeronautics Board, 359 F.2d 624, 633 (D.C. Cir. 1966), cert. denied, 385 U.S. 843 (1966), the court “recognized that agencies are allowed to be flexible in adopting ‘approaches subject to expeditious adjustment in the light of experience.’” Finally, the Supreme Court has held in Costle v. Pacific Legal Foundation, 445 U.S. 198 (1980), that an agency does not have the burden of proving that there are no disputed issues in a case to satisfy due process requirements; in fact, an agency may require the parties to establish the need for a hearing.

The Commission and its predecessors have used the show cause process in a variety of circumstances and always limiting the proceeding in some way. See e.g. In Re Pac. Coast Euro. Conf., 7 F.M.C. 27 (1961) (show cause proceeding initiated by order of the Federal Maritime Board to compel the Conference to provide information regarding how it was implementing a provision of its approved agreement)(order allowed for the filing of affidavits of fact and memorandum of law and scheduled an oral hearing); In re Marcus Nussbaum, Order Directing Marcus Nussbaum to Show Cause, Dkt. 24-03, 8 F.M.C.2d 116 (Jan. 10, 2024) (show cause proceeding to determine if an attorney should be allowed to continuing practicing before the Commission) (order limited the respondent to the submission of a reply, evidence, and the ability to request an oral hearing); Falcon Shipping Inc., Abdiel Falcon – Application for a License as an Ocean Transportation Intermediary, Order to Show Cause, Dkt. 11-10, 32 SRR 114 (served June 23, 2011) (show cause to determine why denial of Ocean Transportation Intermediary’s (OTI) license application should not be upheld) (order limited proceeding to submission of facts and memorandum of law); Revocation of OTI License No. 022025—Cargologic USA LLC, 33 S.R.R. 666 (FMC 2014) (show cause to determine if OTI’s license should be revoked) (order limited proceeding to the filing of affidavits of fact and memorandum of law but allowed for requesting an evidentiary hearing and for leave to intervene by interested parties).

Though limited, show cause proceedings are not inflexible. Similar to the OSC here, the show cause order in Washington Movers provided for motioning to intervene by interested parties and an evidentiary hearing if ordered by the Commission. Revocation Of Ocean Transportation Intermediary License No. 017843 - Washington Movers, Inc., Order to Show Cause, 33 SRR 1280, 1282 (Oct. 8, 2015). Washington Movers timely replied to the order and BEIC's predecessor, the Bureau of Enforcement (BOE), filed its response and supporting evidence. Subsequently, Washington Movers contested and sought to rebut some of BOE's evidence. Also, an interested party sought to intervene and stated she intended to utilize discovery proceedings. In light of the disputed facts, request for a hearing, potential discovery issues, the potential impact on the licensee, and difficulty of the full Commission presiding over the above, the Commission assigned the matter to the Office of Administrative Law Judges. Washington Movers, Order Regarding Preliminary Issues, 34 SRR 27, 33 (FMC Feb. 12, 2016). Accord, Exclusive Tug, 2001 WL 1420467, at *19 (The Commission referred the matter to an Administrative Law Judge (ALJ) because of the proceeding's "complexity and factual nature.").

As stated earlier, "An agency is not necessarily required to afford respondents a full evidentiary hearing when it proceeds under a show cause proceeding." Exclusive Tug, 2001 WL 1420467, at *16. The additional process seen in Washington Movers or Exclusive Tug is not required here. Unlike those cases, here there is no dispute of material fact and thus no need for discovery, evidentiary hearings, or the like.

When a proceeding is commenced using an order to show cause, "The show cause procedure requires the Commission to first establish a *prima facie* case of violation of the shipping statutes." In re Interpool Ltd. Pet. for Order to Show Cause, 23 S.R.R. 899, 902 (FMC 1986). The allegations in the OSC set forth BEIC's *prima facie* case. Hapag's own response cites various

allegations as support for its statement of facts. e.g. Hapag Resp. ¶¶10-15. Then, as a statement of fact, Hapag says: “Thus, on the face of the OSC, the only legal issue presented is whether Respondent violated 46 C.F.R. § 541.7(a) for failure to issue the Reissued Invoices within 30 days after the date on which the last charge was incurred, and whether such action subjects Respondent to civil penalties.” Hapag Resp. ¶ 18 (citing the OSC at ¶¶ 32–35).

As Hapag does not contest the relevant facts, the question before the Commission is one of law, not fact. The Commission has the statutory authority to commence this proceeding as it has, and the statutory mandate to promptly investigate Charge Complaints. The Commission chose to use the show cause proceeding. “Such an expedited hearing procedure is generally reserved for situations involving issues only of law, where there is no question as to the material facts involved but only as to the legal implications of those facts.” In re Interpool, 23 S.R.R. 899, 902 (FMC 1986) (citing Agreement No. 7700, 10 FMG 61,64-65 [7 SRR 441] (1996) for supporting authority). “It is equally well settled that an evidentiary hearing is not required in making such a determination where, as here, the only question is one of law.” Pac. Coast Euro. Conf. Port Equalization Rule, 7 F.M.C. 623, 629 (1963).

Under scrutiny here are Hapag’s own invoices and own actions; all information under Hapag’s control and uncontested. Hapag is not being denied its required due process by not having a full evidentiary hearing inclusive of discovery, subpoenas, and the like. It has filed its answer and facts without contesting any relevant facts. Before the Commission issues its decision, Hapag still may request oral testimony or argument. OSC at 7. Hapag is not prejudiced or harmed by waivers rules of practice here. Customization is proper in show cause proceedings and this proceeding was designed to meet the OSRA 2022 directive to promptly investigate a Charge Complaint.

E. Respondent's FOIA Request is Irrelevant

Respondent avers that the fact that the FMC's response to its FOIA request is pending underscores its arguments above that this proceeding is inadequate. Hapag Resp. at 37. Respondent's FOIA request and the status of the response are irrelevant here.

This show cause proceeding is governed by Rule 91 of the Commission's Rules of Practice and Procedure limiting it to "evidence upon the matters specified," 46 C.F.R. § 502.91, namely why Respondent "should not be ordered to refund or waive charges assessed or paid for failure to comply with 46 U.S.C. §§ 41104(a)(14) and 41104(a)(15)(B)," OSC at 1. Respondent requested information regarding charge-complaint-related documents from separate matters, which Respondent claims would be "essential to [its] ability to understand the Commission's expectations and treatment of similar matters to obtain a similar outcome." Hapag Resp. at 37. Documents related to separate matters and the Commission's expectations and treatment of similar matters are irrelevant to whether Hapag violated 46 U.S.C. §§ 41104(a)(14) and 41104(a)(15)(B) when it reissued invoices more than thirty days from the date of the last charge. As discussed above, on that question BEIC believes there are no missing or contested material facts.

Respondent is not seeking FOIA relief.¹ Hapag Resp. at 37. Therefore, Respondent's request and the status of the response are not relevant to this proceeding.

F. This Proceeding is Consistent with Article II

To preserve for future review in anticipation of the outcome of a case pending before the Supreme Court, Hapag argues that this proceeding is unconstitutional due to the removal protections provided for FMC Commissioners in 46 U.S.C. § 46101(b)(5). Hapag Resp. at 38.

¹ Nor could it. The FOIA statute, at 5 U.S.C. § 552(a)(4)(B), requires any FOIA challenge to be brought in the appropriate federal district court. *See, e.g., Jud. Watch, Inc. v. DOJ*, 898 F. Supp. 2d 93, 101 (D.D.C. 2012) ("When a FOIA requester properly exhausts its administrative remedies, it may file a civil action challenging an agency's response to its request.") (internal citations omitted).

The Shipping Act provides that “[t]he President may remove a Commissioner for inefficiency, neglect of duty, or malfeasance in office.” 46 U.S.C. § 46101(b)(5). This removal protection afforded to FMC Commissioners is constitutional.

Article II gives the President the “power to remove—and thus supervise—those who wield executive power on his behalf.” Seila Law LLC v. CFPB, 591 U.S. 197, 204 (2020) (citing Myers v. United States, 272 U.S. 52 (1926)). One exception is that “Congress [can] create expert agencies led by a *group* of principal officers removable by the President only for good cause.” Id. (citing Humphrey’s Ex’r v. United States, 295 U.S. 602 (1935)).

The Commission falls within this exception. “The Supreme Court has long recognized the agency as ‘the expert body established by Congress for safeguarding this specialized aspect of the national interest.’” MSC, at *56 (quoting California v. United States, 320 U.S. 577, 584 (1944) (referring to the U.S. Maritime Commission, a predecessor of the FMC)). It is led by a bipartisan group of principal officers. See 46 U.S.C. § 46101. Therefore, under current law, the removal protection afforded the Commissioners does not implicate a separation of powers issue.

Hapag preserves its argument in the hope that the outcome in Trump v. Slaughter, No. 25-332 (U.S. argued Dec. 8, 2025), “may soon overrule that exception.” If Hapag renews this argument in the future, depending on the posture of the case and the forum, BEIC or the Commission will respond based on the state of the law at that time and Hapag’s argument.

ISSUE OF A CIVIL PENALTY

In the event that the Commission does find a violation of 46 U.S.C. § 41104(a) by Respondent, the Commission shall assess Respondent a civil penalty. 46 U.S.C. § 41310(d). BEIC strongly recommends that, in accordance with the Charge Complaint Interim Procedure, this mater

be referred to the Administrative Law Judge (ALJ) for a hearing on the assessment of a civil penalty pursuant to 46 U.S.C. §§ 41107 and 41109.

CONCLUSION

For the foregoing reasons, BEIC asserts that Respondent has not demonstrated in accordance with the OSC as to why the Commission should not order a waiver of the assessed and unpaid detention and demurrage charges that are disputed in the underlying Charge Complaint. Pursuant to the OSC, BEIC requests that the Commission issue: findings that Hapag-Lloyd AG violated 46 U.S.C. §§ 41104(a)(14) and 41104(a)(15)(B) by issuing its 159 detention and demurrage invoices more than 30 days after the date of the last charge contrary to the requirements of 46 C.F.R. § 541.7(a); and refer this matter to the ALJ for a separate civil penalty hearing.

Respectfully submitted,

/s/ Brenda Doty

Brenda Doty

Grace Lee

Bureau of Enforcement, Investigations, and
Compliance

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 27th day of April 2026, the foregoing Reply was served upon Respondent via electronic mail at the following addresses:

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